

SUDAN Food Security Outlook

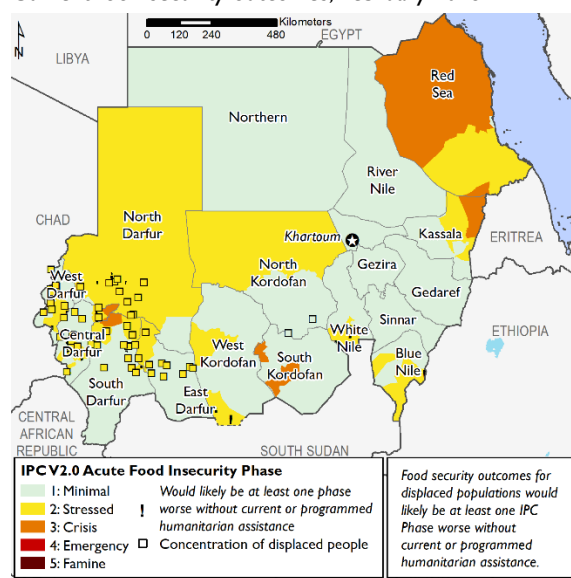
February to September 2018

Displacement, poor 2017 rainfall, and high food prices to drive food insecurity through September

KEY MESSAGES

- Parts of Kassala and North Darfur, affected by severe dryness in 2017, and IDPs in Jebel Marra, will face Crisis (IPC Phase 3) through September, while food security among IDPs in SPLM-N areas of South Kordofan will deteriorate from Crisis (IPC Phase 3) to Emergency (IPC Phase 4) between June and September 2018. Most other parts of Sudan will likely remain in Minimal (IPC Phase 1) or Stressed (IPC Phase 2) acute food insecurity between February and September 2018, following above-average 2017/18 harvests.
- The recent joint Annual Crop and Food Supply Assessment Mission (CFSAM), released in February 2018, estimated Sudan's national 2017/18 cereal production at approximately 5.2 million metric tons. This is approximately 10 percent higher than the recent five-year average, and nearly 40 percent lower than the well above-average 2016/17 harvests. Very poor seasonal performance in northern Kassala, northern Gadaref, and parts of North Darfur, and North Kordofan led to locally very poor crop production and regeneration of pastoral resources.
- The recent lifting of wheat subsidies and devaluation of the Sudanese currency has led to significant price increases for key food and non-food items. Prices for key staple foods, such as locally produced sorghum and imported wheat, increased on average by 35 percent between December and January. According to the Sudan's Central Bureau of Statistics (CBS), inflation in Sudan increased sharply from 25 percent in December 2017 to 52 percent in January 2018.

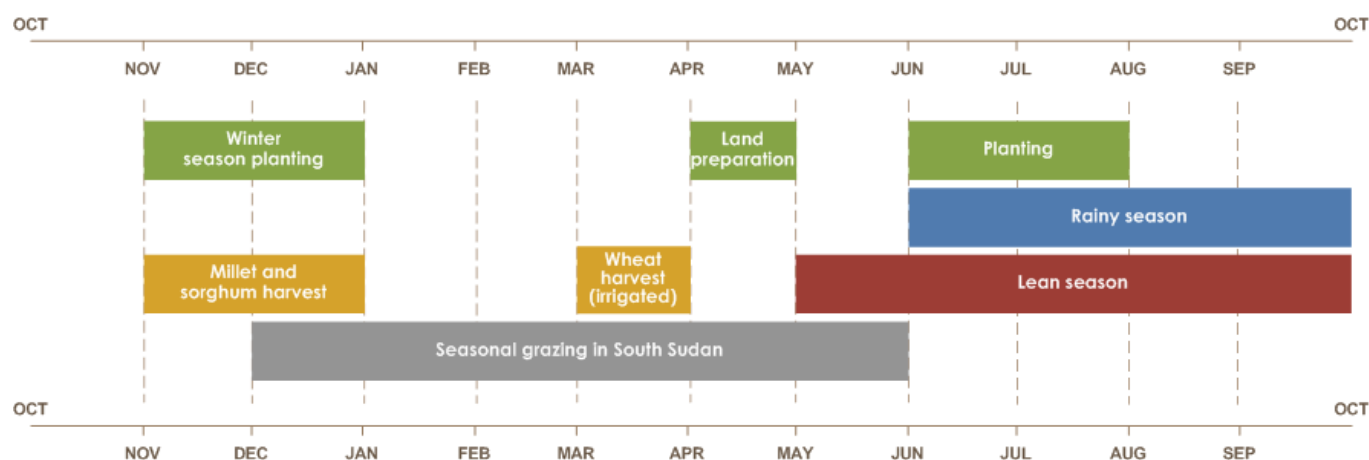
Current food security outcomes, February 2018



Source: FEWS NET

FEWS NET classification is IPC-compatible. IPC-compatible analysis follows key IPC protocols but does not necessarily reflect the consensus of national food security partners.

SEASONAL CALENDAR FOR A TYPICAL YEAR



Source: FEWS NET

NATIONAL OVERVIEW

Current Situation

2017/18 agricultural production

The recent joint Annual Crop and Food Supply Assessment Mission (CFSAM) estimated Sudan's national 2017/18 cereal production at approximately 5.2 million metric tons. This is approximately 10 percent higher than the recent five-year average, and nearly almost 40 percent lower than the well above-average 2016/17 harvests.

Out of the estimated 5.2 million tons of cereal for this season, sorghum production is estimated at 3.7 million metric tons, this is almost 40 percent below that of the previous year, but still seven percent higher than the five-year average. Millet production is estimated at approximately 0.95 million tons, which is 20 percent above the five-year average and 42 percent below the above-average production of last year. According to the CFSAM, harvests of irrigated winter wheat in March are expected to be approximately 0.46 million metric tons, which is slightly lower than in 2016/17, but 15 percent higher than the recent five-year average.

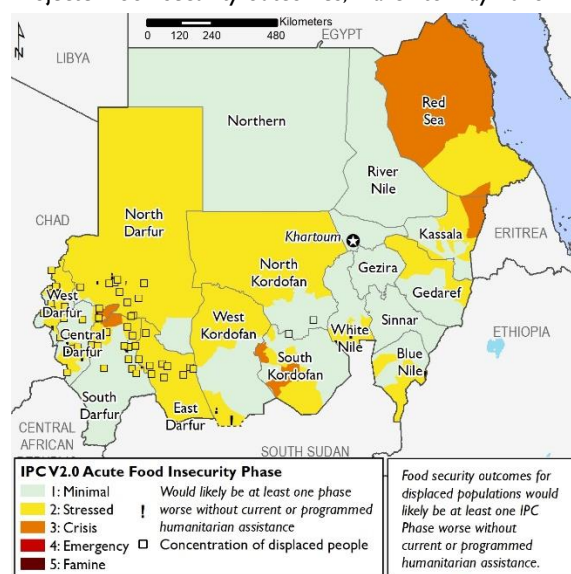
The decrease in cereal production this year compared to last year are attributed mostly to a reduction in area planted. The low prices for sorghum from last year, due to the above-average production of 2016/17 season, encouraged many farmers in the irrigated and semi-mechanized sectors to plant sesame and other cash crops with more attractive prices. In parts of the traditional and semi-mechanized rain-fed sector, area planted was significantly reduced by a delayed onset of rains, below-average rainfall and prolonged dry spells. As a result, area planted in sorghum decreased by 20 percent this year compared to last year. Areas where production was lowest compared to average include North Darfur, parts of North Kordofan, northern parts of Kassala, and northern parts of Al Qadarif states.

Following a significant increase in area and yield, above-average sesame production is reported for this year. Overall, sesame production in 2017/18 is estimated at 861,000 tons, which is 64 percent higher than last year. Groundnut production this year is estimated at 1.6 million tons, which is below that of 2016/17 due to rain shortage in the major rainfed production areas. Sunflower production this year is 76 percent higher than last year due to a significant increase in harvestable area this year.

According to the CFSAM, the national cereal balance sheet for the 2017/18 consumption year estimates national cereal availability at 6.3 million metric tons, including 0.94 tons as opening stocks. Wheat import needs are estimated to be approximately 2.1 million tons and rice import needs are estimated at approximately 60,000 tons. Accordingly, the total available cereal for the consumption year 2017/18 will cover the annual domestic cereal requirements and closing stocks will be an estimated 696,000 tons in November 2018.

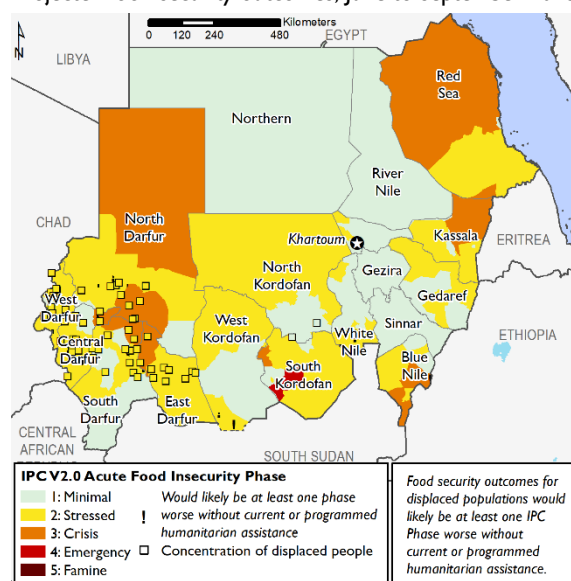
Increases in production costs have been reported this year, especially in the semi-mechanized rain-fed and irrigated sectors. According to the CFSAM, agricultural production costs increased 30 percent this season compared to 2016/17, which is mainly

Projected food security outcomes, March to May 2018



Source: FEWS NET

Projected food security outcomes, June to September 2018



Source: FEWS NET

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attributed to high cost of agricultural inputs, labor, and increases in water for irrigation and management fees in the irrigated sector.

Macroeconomy

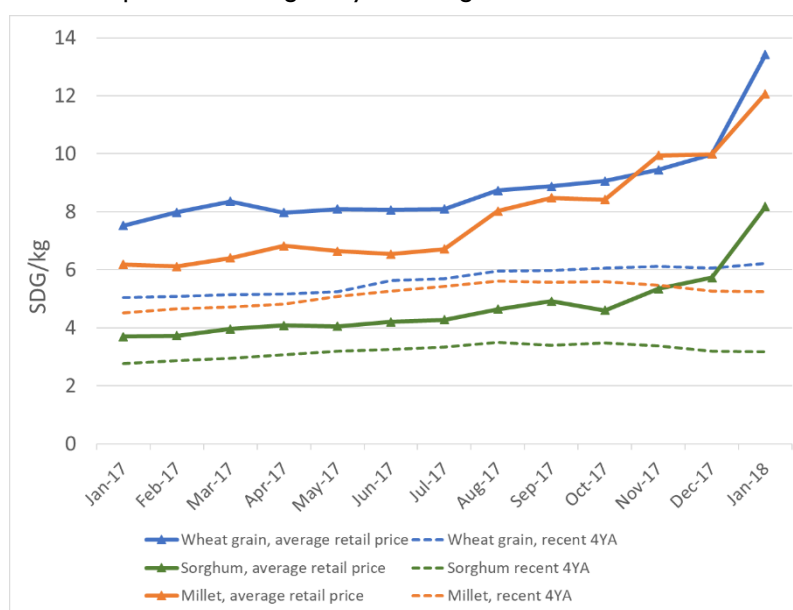
In December 2017, the Government of Sudan announced the removal of wheat and wheat flour subsidies, as well as the devaluation of the Sudanese Pound (SDG) from 6.7 SDG/USD to 18 SDG/USD. In February 2018, the government announced a further devaluation from 18 SDG/USD to 30 SDG/USD. According to the Sudan's Central Bureau of Statistics (CBS), inflation in Sudan increased sharply from 25 percent in December 2017 to 52 percent in January 2018 following the announcement of the recent macro-economic changes.

Staple food prices

Following these announcements, the prices for key staples foods increased sharply. For example, the retail price of wheat grain, which is largely imported, increased by 15-50 percent between December and January across 11 markets monitored by FEWS NET in Sudan. These increases were driven by the removal of wheat and wheat flour subsidies in January 2018. Current wheat prices are between 20 and 120 percent higher than in January 2017, and two to three times higher than the recent five-year average (Figure 1).

Prices for locally produced staple foods have also increased sharply. Retail sorghum prices increased by 10-80 percent between December 2017 and January 2018, while retail millet prices increased by 5-60 percent across most markets. The timing for these increases coincides with the post-harvest period, when prices for staple foods typically decline seasonally. In recent years, staple food prices have shown year-on-year increases that typically result in current year prices being as much as 50 percent higher than their recent four or five-year average. However, following the sharp increase between December and January, January 2018 retail sorghum and millet prices were 70 to 150 percent above January 2017 levels and two to three times higher than the recent five-year average (Figure 1).

Figure 1. Nominal retail prices (national average) for wheat, sorghum, and millet, compared to running four-year averages



Source: FEWS NET/FAMIS data

These changes in the macro-economic of the country have also eliminated indirect price support to both imported and locally produced non-cereal food commodities like cooking oil, sugar and milk powder, exerting upward pressure on prices for these commodities.

Livestock prices

Livestock prices continued to increase across most markets in Sudan between December 2017 and January 2018. Goat and sheep prices reported five to 15 percent monthly increases during January 2018. In El Fasher, one of the areas most affected by severe dryness this year, livestock prices remained atypically stable between October through January 2018, which is mostly attributed to the increased sales of animals for cereal purchase due to limited availability of households' own production and high grain prices. In most markets, goat and sheep prices remained 20 percent above last year and more than 80 percent recent five-year average.

Labor prices

Despite the overall increase in prices of different goods and services following the recent macro-economic changes in Sudan, labor wages remained relatively stable in most parts of the country. Between December 2017 and January 2018, the agricultural labor wage (mostly harvesting activities) remained stable in most markets, with the exception of Zalingei and Senga markets where a slight increase in wages was reported. However, daily wage rates for agricultural labor remained between 50 and 150 SDG throughout the country, which was mainly due to the completion of the harvest process in most areas while competition over available opportunities continues. January 2018 wage labor rates were mostly similar to that of last year, but 20 to 30 percent above the five-year average. As the majority of people are likely to shift to non-agricultural labor during the summer season, wages are likely to remain slightly above last year and 20-30 percent above the recent five-year average.

Terms-of-trade and household purchasing power

In January 2018, sorghum to livestock terms-of-trade started to decrease for livestock holders in most markets monitored by FEWS NET in Sudan, which is due to the sharp increase in staple food prices. Goat to sorghum terms-of-trade decreased by 15 to 30 percent between December 2017 and January 2018, in most of the nine markets for which recent price data was available. In select markets, such as Madani for example, decreases in terms-of-trade were as high as 40 percent. Trends in terms-of-trade are mixed when compared to previous year levels, with January 2018 levels ranging between 30 percent above (in Kadugli market) to 50 percent below (in Ad Damazin market) previous year levels. Similar trends are observed when comparing January 2018 terms-of-trade to the recent five-year average.

Sorghum to daily wage labor terms-of-trade continued to deteriorate rapidly between November 2017 and January 2018 in most markets due to the significant increase in sorghum prices compared to the relative stability of labor wages. In Al Gadaref market, terms-of-trade between daily wage labor and sorghum decreased by 25 percent as it dropped from 16 kg per day of wage labor in November to 12 kg per day of wage labor in January 2018, this is almost 75 percent lower than that of January 2017, and 60 percent lower than the recent two-year average.

Conflict and South Sudanese refugees

The influx of South Sudanese refugees into bordering states of Sudan continues due to ongoing conflict and food insecurity in South Sudan. According to UNHCR, an estimated 3,064 South Sudanese refugees arrived in Sudan during January 2018, with the majority arriving to South Darfur, East Darfur, West Kordofan, White Nile, and South Kordofan states. According to UNHCR, since December 2013, more than 417,600 refugees from South Sudan have arrived in Sudan, of whom 195,599 arrived in 2017.

No major incidents of direct fighting between conflicting groups have been reported in Darfur, South Kordofan, and Blue Nile since last year through January 2018. However, population movement, trade flow, and access by humanitarian actors to SPLM-N controlled areas of South Kordofan remained restricted. High tension and increased deployment of Sudan Armed forces (SAF) in the eastern borders of Sudan and Eritrea continued during January 2018 due to the reported presence of different Sudanese rebel groups in Eritrea.

Humanitarian assistance

In 2018, WFP Sudan plans to provide general food distributions and/or cash assistance to more than 4.8 million people, over 2.8 million of whom are in the Darfur states and about 314,816 in government-controlled areas of South Kordofan and Blue Nile states. Between July and December 2017, WFP Sudan provided general food distributions to approximately 3.6 million people, or about 88 percent of the targeted population in Sudan, including 413,350 children under-five years old and pregnant and nursing women, who received preventive and curative nutrition assistance.

Assumptions

The most likely food security scenario for February through September 2018 is based on the following assumptions:

- Based on international seasonal forecasts, the June to September 2018 rainy season in Sudan is expected to be above average tending to average in terms of total cumulative rainfall. As this is a preliminary forecast, FEWS NET will continue to

monitor upcoming seasonal forecasts from the Sudan Meteorological Authority and the IGAD Climate Prediction and Applications Centre (ICPAC).

- High inflation and local currency depreciation is likely to persist in Sudan between February and September 2018 due to the recent local currency devaluation, removal of subsidies and increased prices of imported and locally produced food and non-food items, in addition to the very high demand for hard currency following the removal of trade sanctions in October 2017.
- Prices of sorghum, the main staple, are expected to stabilize at their current high levels during February and April 2018 due to availability of households' own production and hence relatively low demand for local consumption. Prices are likely to start rapid seasonal increases between May and September due to expected depletion of stocks at the household level and increases in demand for local consumption. Sorghum prices are likely to increase 10 to 30 percent from their current levels and remain at over 80 percent above last year, which is more than double compared to the five-year average (Figure 3). Prices of millet, the main staple food in western Sudan, are also expected to follow the same trend. Prices are expected to be stable between February and April and increase 15 to 20 percent between May and September but will remain 50 to 70 percent above respective 2017, which is more than double compared to the recent five-year average.
- Wheat production from the ongoing 2017/18 winter season is expected to be slightly above average.
- Prices for locally produced wheat are likely to be stable or slightly decrease following harvests between March and June and to start typical gradual seasonal increases between July and September. However, prices of imported wheat are likely to remain more than double compared to 2017 and over 170 percent above the recent five-year average due to extremely high prices of imported wheat and wheat flour following the removal of subsidies.
- Livestock prices are expected to remain relatively stable or slightly increase in most markets between February and May due to the availability of relatively better pasture and access to water. Livestock prices are expected to increase seasonably following the start of the June to September 2018 rains, as increased availability of water and pasture improve animal body conditions. Export demand, particularly for sheep and cattle to Saudi Arabia and Gulf, are anticipated to increase during and Hajj religious festivities. Livestock prices are anticipated to remain slightly above last year and well above average.
- Terms-of-trade between livestock (goats) and cereals are likely to continue to be in favor of cereal producers between February and May 2018 due to expected increases in cereal prices compared to livestock prices. Terms-of-trade are expected to start to improve in favor of livestock holders with the expected increase in livestock prices between June and September. Goats to sorghum terms-of-trade are expected to remain 10 to 20 percent below last year, but slightly above average.
- Agricultural daily wage labor opportunities are likely to decline seasonably following completion of the harvest in February 2018, when households will begin to shift to non-agricultural labor. Daily wage rates will likely continue to decrease between February and May due to increased competition over available opportunities. Agricultural labor opportunities and wages are expected to start seasonal increases by the start of June to September 2018 rainy season.
- Between February and May, terms of trade between daily labor and sorghum is expected remain below average and to continue to be in favor of sorghum producers due to expected increases in sorghum prices with reduced labor wages. Terms-of-trade will start to improve slightly between May and August with the expected improvement in labor wages but will likely remain significantly below last year and the recent five-year average.
- The influx of South Sudanese refugees from South Sudan into neighboring states of Sudan is expected to continue between February and September 2017 as insecurity, instability, and severe acute food insecurity continues in South Sudan. According to UNHCR, an estimated 200,000 new refugees are anticipated to arrive in Sudan in 2018.
- Disputes and tension between conflicting SPLM-N factions in South Kordofan and Blue Nile, increased tension along the border with Eritrea, and disputes over pasture and water for animals and sporadic tribal conflicts in Darfur are expected in these areas during scenario period. In Kassala and Darfur, this is expected to reduce pastoralist access to some of the grazing areas and reduce poor group's access to collection and sale of forest products, which represents a major source of income for the poor groups as well as access to cultivation during upcoming 2018/19 season. No major, additional displacement in SPLM-N areas is expected during scenario period.

Most likely food security outcomes

The scenario for February through September 2018, includes the harvest and post-harvest period from February to May, and the peak lean season from June to September 2018. Between February and April, most households are likely to maintain improved access to food following above-average harvests, increased access to food from in-kind payments from agricultural labor, and improved access to milk resulting from improved pasture conditions. In combination, these factors will help to improve household food access, although household access to market purchases will be much lower than normal, particularly among poor households, due to very high staple food prices and lower than normal terms of trade. Nevertheless, most poor households will be able to meet at least their minimum household food requirements. Most areas of Sudan will remain in Minimal (IPC Phase 1) or Stressed (IPC Phase 2) between February and May 2018, although the number of households unable to meet their livelihood protection needs is expected to be higher than normal during this period. As households exhaust their stocks of own-produced foods and begin to enter the period of the year when they are most dependent on market purchases to access staple foods, the number of households facing difficulty meeting the livelihoods protection needs is expected to increase further and some households may face Crisis (IPC Phase 3) outcomes. However, most areas of the country will remain in Minimal (IPC Phase 1) and Stressed (IPC Phase 2) between June and September 2018.

However, continued displacement and poor seasonal progress in 2017 will affect food security in several areas in 2018. In SPLM-N-controlled areas of South Kordofan and Blue Nile, as well as in Jebel Marra in Darfur, IDPs in particular had limited access to cultivatable areas for crop production during the 2017 rainy season. Very poor seasonal progress in northern Kassala, parts of North Darfur, and parts of North Kordofan likewise resulted in very poor crop production, as well as limited regeneration of water and pasture resources for livestock, below-average access to in-kind payments for agricultural labor, and reduced access to wild foods. Furthermore, the earlier than normal migration of livestock away from these zones in search of pasture has reduced household access to milk. Between February and September 2018, IDPs and these dryness-affected areas will face Crisis (IPC Phase 3) outcomes. As food consumption gaps widen further during the peak of the lean season, food security among IDPs in Jebel Marra and in SPLM-N-controlled areas of South Kordofan, among whom access to land, trade, and humanitarian assistance is most constrained, will deteriorate to Emergency (IPC Phase 4) during the peak of the lean season between June and September 2018.

AREAS OF CONCERN

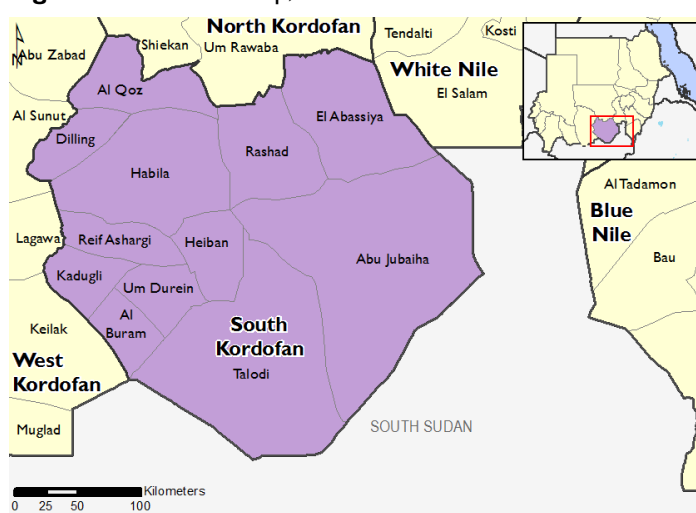
IDPs in SPLM-N-controlled areas of South Kordofan State (Figure 2)

Current situation

Since the beginning of 2017, the security situation has remained generally calm across most SPLM-N-controlled areas of South Kordofan. No direct fighting between SPLM-N and Sudanese Armed Forces (SAF) has been reported in the area since the declaration of the ceasefire in January 2017. Nevertheless, humanitarian access, population movements in and out of the area, access to livelihood activities, and trade flows into the area remain restricted.

Internally displaced persons (IDPs) and returnees from refugee camps in South Sudan, in addition to households from host communities, are still living in the SPLM-N controlled areas of South Kordofan. Since the start of the conflict in 2011, the main areas hosting IDPs and refugees are Heiban, Buram, and Um Dorain localities and some parts of El Reifalshargi, Al Dalanj, Kadugli, Talodi, Habila, and Lagawa localities. Most households in these areas face limited livelihoods options due to insecurity and

Figure 2. Reference map, South Kordofan State



Source: CFSAM 2017/18

restricted movements. Limited cultivation in nearby farms and *jubra* (home garden) cultivation is one of the options people use to meet part of their food needs.

According to the CFSAM findings conducted in government-controlled areas, 2017/18 cereal production was above average in South Kordofan, following above-average main season rains and the relatively improved security situation. Based on this and similarities in what the remote sensing products suggest in terms of good seasonal performance, it is expected that crop production among resident households in SPLM-N-controlled areas with access to land was also likely above-average compared to the 2011-15 conflict years. In SPLM-N controlled areas of South Kordofan, relatively better production from *Jubra* harvests compared to years of conflict is reported for most households living in the area, despite the continued limited access to land for cultivation. As has been the case since the start of conflict in 2011, households in SPLM-N-controlled areas, particularly IDPs, had levels of production far below that of those in the government areas due to lack of inputs, restriction on free movements, and limited access to farms for cultivation.

Retail sorghum prices in Kadugli market of South Kordofan began to decline seasonally between November and December 2017. However, prices increased atypically and sharply by approximately 25 percent between December 2017 and January 2018, following the recent changes in the macroeconomic situation in Sudan. These increases January 2018 prices to be near their January 2017 levels and approximately 50 percent above the five-year average. In SPLM-N controlled areas of South Kordofan, cereal prices remained at extremely high levels compared to government areas. During January 2018, sorghum prices either remained stable or slightly decreased, particularly in areas of the eastern mountains of Dalami, Al Dalang and parts of Habila areas in the western mountains due to relatively better *jubra* harvests this year and better access to payment in-kind due to their proximity to areas of good production within government areas. In the western mountains of Heiban, Um Dorain, Wakada, and Lubous, prices either remained stable at their high levels or slightly increased between December and January due to limited production and restricted trade flows and population movements. However, January 2018 sorghum prices in SPLM-N areas remained on average more than three times those in nearby government areas and 65 to 75 percent above prices observed last year in SPLM-N-controlled areas.

In Kadugli market, despite the increase in daily wages, terms-of-trade between daily wage labor and sorghum dropped 20 percent between December and January, from 28 Kg per day of wage in December to 24 kg per day of wage labor in January 2018 compared to 14 Kg per day of wage labor in January 2017. The drop was mainly due to the 26 percent increase in sorghum prices during January 2018, while wages remained at SDG 100 per day during December 2017 and January 2018 compared to 60 SDG for January 2017. The situation is most likely worse in SPLM-N controlled areas due to the restricted population movements and low demand for labor by the traditional rain-fed sector.

Assumptions

In addition to the national-level assumptions described above, the following area-level assumptions have been used to develop the most-likely scenario for IDPs in SPLM-N areas of South Kordofan for February through September 2018:

- No major incidents of direct fighting between conflicting parties are expected between February and September 2018, although insecurity and tension between GoS and SPLM-N as well as the between the SPLM-N disputing factions is likely to persist.
- In SPLM-N controlled areas, cereal prices are likely to remain extremely high and more than triple those in GoS areas during the entire scenario period.
- Prices of non-cereal and other essential non-food items are expected to remain at extremely high levels during the scenario period due to restricted trade flows from government-controlled areas to SPLM-N areas and the already high prices resulting from the devaluation of the Sudanese Pound (SDG).
- Household access to seasonal agricultural labor, petty trade, and collection of wild foods will remain limited by restrictions on population movements.
- Humanitarian access to SPLM-N areas is anticipated to remain restricted and no humanitarian assistance is likely to be delivered during the scenario period.
- Flows of South Sudanese refugees to bordering areas in South Kordofan, including some parts of SPLM-N areas, is likely to continue during the scenario period.

Most likely food security outcomes

Between February and April 2018, IDP households will access food during the post-harvest period from own production from home gardens, in-kind payments from agricultural labor, and wild food collection. Despite this, most households' ability to access food through market purchases remains very low and is expected to remain extremely limited due to extremely high staple food prices. Most households are expected to continue earning limited amounts of income from sales of wild foods, remittances, and collection and sale of firewood, but will be unable to meet their basic food needs and will face food consumption gaps. Therefore, most IDP households will likely face Crisis (IPC Phase 3) acute food insecurity between February and May 2017.

Household access to food is likely to decline further between May and September during the peak of the lean season as household dependence on markets for food access increases and staple food prices remain extremely high, and as wild foods are at seasonally low levels. Meanwhile, household income is likely to remain at low levels, at a time when households increase rely on market purchases of cereal and in-kind payment from agricultural labor will remain limited. During this period and in the absence of humanitarian assistance, food consumption gaps are expected to widen further, and most IDP households will face Emergency (IPC Phase 4) outcomes between June and September 2017.

Eastern Pastoral Livelihood Zone (SD-03), Hamashkoraib and Talkok localities, Kassala state (Figure 3)

Hamashkoraib and Talkok localities of Kassala state are mainly under Eastern Pastoral Livelihood Zone of Eastern Sudan. The zone has a rainfall regime of less than 150 mm per annum on average and associated arid ecology is insufficient to support rain-fed agriculture or even transhumant cattle. Rather, the rugged environment is suitable for grazing; goats and sheep, together with some camels.

Current Situation

2017 seasonal performance

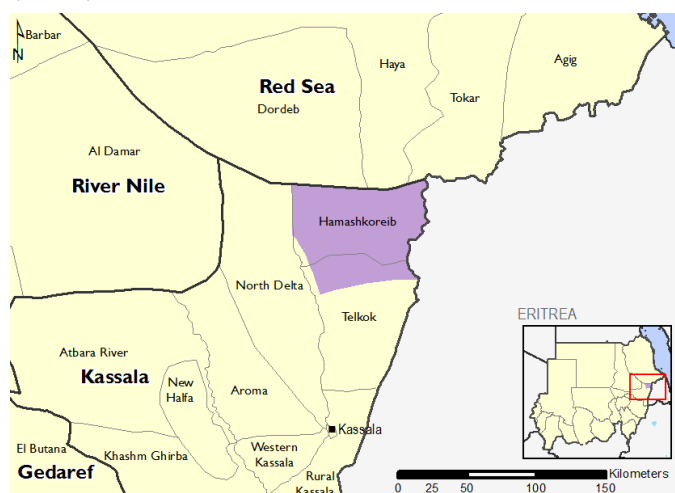
The performance of 2017 seasonal rainfall was very poor over Hamashkoraib and Talkok localities in Kassala State. However, contrary to most field reports and other remote sensing products, rainfall products such as CHIRPS indicated that overall cumulative rainfall in these localities was near normal. Nonetheless, throughout the season, other remote sensing products such as NDVI, indicated vegetation levels

were well below normal. Rain gauge data collected by local meteorological centers suggest total rainfall in some areas was a mere 70 mm and concentrated in only two rainy days. This is almost 33 percent lower than the below average rains of the 2016/17 season. Extremely poor performance of the main 2017 season reportedly resulted in complete crop failure in the limited flood recession areas, where some households from the two localities cultivate small agricultural plots for own household consumption.

Pasture and livestock conditions

In January 2018, pasture conditions are reported to be very poor in most of the main grazing areas in the two localities. The Food Security Technical Secretariat (FSTS) in Kassala State estimates there is a significant fodder gap for the year 2018, and as result, most better-off pastoralists from the area have started earlier than normal migration with most of their animals to summer season grazing areas around Al Gash river and areas with crop residues in agricultural areas in other parts of Kassala and Al Gadaref states. Most households have increased purchase of produced fodder and purchase of sorghum in order to feed small numbers of milking animals which are kept near residential areas. As result, as of January, fodder prices in these areas increased 150 to 250 percent compared to the same period last year. In addition, the cost of watering one animal increased

Figure 3. Reference map, Eastern Pastoral Livelihood Zone (SD-03), Hamashkoraib and Talkok localities, Kassala State



Source: CFSAM 2017/18

about 115 percent compared to last year, and the cost of one barrel of water increased from SDG 10 last year to SDG 25 during January 2018. Livestock body conditions have already started to deteriorate to below-normal levels. Normally livestock body conditions typically begin to deteriorate between May and July, when pasture availability is at its seasonally lowest point. So far, no significant atypical deaths of livestock have been reported.

Cereal and livestock prices, terms of trade

Cereal prices in Kassala market (the main market of supply to Hamashkoraib and Talkok) have increased atypically between September 2017 and January 2018. Between November and December 2017, prices reported monthly increases of as much as 35 percent. This was attributed to poor production this year in the northern part of the state, in addition to the rapid local currency devaluation, continued high inflation that resulted in significant increases in harvesting and transportation costs, and the removal of subsidies for wheat and wheat flour in January 2018. Between December 2017 and January 2018, the price of wheat and wheat flour in Kassala markets increased sharply, while sorghum retail price was more than double its January 2017 and five-year average level.

According to the Kassala State Food Security Technical Secretariat, livestock prices either remained relatively stable or atypically decreased during the period between November 2017 and January 2018. Prices of sheep declined 21 percent between December 2017 and January 2018 due to the observed increase in the supply of animal to markets, which coincided with reduced demand for export. In addition, there is an earlier than usual deterioration of animal body conditions that has been observed particularly in Hamashkoraib, Talkok, and Aroma areas in the northern parts of the state. Male goat prices either remained stable or increased 5 to 15 percent.

During January 2018, terms of trade between livestock and sorghum in Kassala market continued to be in favor of sorghum producers. Goats to sorghum terms of trade decreased 15 percent between November 2017 and January 2018 as it decreased from 95.7 Kg in November to 81.4 Kg of sorghum per head of goat in January 2018, while TOT between sheep and sorghum decreased by 40 percent between January 2018 and December 2017 as 206 Kgs of Sorghum has been traded for a head of sheep as result of 21 percent decreased in sheep prices while sorghum price increased by 34 percent compared December 2017..

Assumptions

In addition to the national-level assumptions described above, the following area-level assumptions are used to develop the most-likely scenario for Eastern Pastoral Livelihood Zone (SD-03) in Hamashkoreib and Talkok localities in Kassala State for February through September 2018:

- Pasture and water for livestock consumption will remain extremely limited between February and June 2018, until seasonal rainfall begins to improve vegetation growth and replenish water resources between July and September 2018.
- Body conditions for livestock will continue to deteriorate until increases in pasture and water availability begin to improve body conditions in August and September 2018.
- Staple food prices are likely to increase further on Kassala market during the peak of the lean season, with retail sorghum prices expected to remain much higher than their 2017 levels and the recent five-year average. The above, in combination with anticipated below-average livestock prices, are likely to results in below-average livestock to cereals terms of trade.
- Poor households are likely to: continue maximizing the sale of wood and charcoal; to increase the number of household members migrating for labor; and to extend the period of time during which household members remain away from the household for migration in search of non-agricultural labor between February and May. Household access to income will improve slightly as they access labor opportunities from local casual labor as herders and from the sale of small animals starting in July 2018 following the onset of seasonal rainfall.
- No/very little milk production for poor households' consumption will be available between February and May 2018 due to the migration of animals far from residential areas and poor productivity of those animals that remain near the homestead. As livestock return to the zone between June and September with the onset of seasonal rainfall, household access to milk should begin to improve.

- Household livestock herd sizes are expected to decline due to excess sales and deaths of livestock, particularly among those remaining near the homestead, due to poor pasture conditions and high fodder prices. Improvements in livestock conditions during the rainy season should limit excess livestock deaths between June and September 2018.
- No major humanitarian assistance planned and expected to be delivered during the outlook period.

Most likely food security outcomes

Poor households in Hamashkoraib and Talkok are likely to continue to face moderate food consumption gaps between February and May 2018, which is mainly due to the extremely high prices of cereal and non-cereal food items and low levels of income, with poor households typically accessing more than 70 percent of their food from market. Access to milk will also remain very limited due to their small herds, poor animal conditions, migration of livestock away from the homestead, and high prices of milk. Poor households are expected to maximize sales of small ruminants and are likely sell productive animals in order to try to increase their access to cash income and food. Poor households in Hamashkoraib and Talkok will likely face Crisis (IPC Phase 3) between February and May 2018. Cereal prices are anticipated to remain very high and increase seasonably during the lean season. Prices of non-cereal food items are also expected to remain extremely high, with the continued high inflation and local currency depreciation. With the starts of upcoming June to September 2018 rainy season and expected improve in pasture condition, livestock body condition, hence, access to milk and income from local labor is likely to improve. However, poor households will continue to face food consumption gaps and remain in Crisis (IPC Phase 3) between June and September 2018.

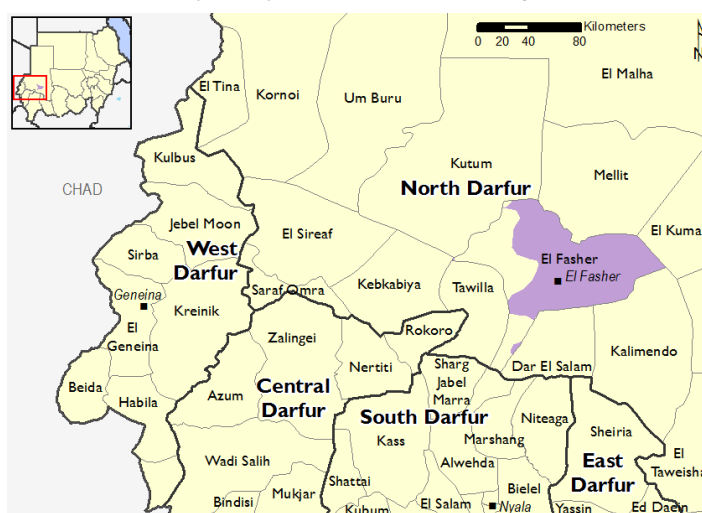
Western Agropastoral Millet Livelihood Zone (SD-13), El Fasher Rural locality, North Darfur (Figure 4)

The Western Agropastoral Millet Livelihood Zone (SD-13) in El Fasher Rural locality is located in central North Darfur and is characterized by low annual rainfall of 100 to 150 mm between during June to September. Most inhabitants in SD-13 are agro-pastoral communities whose livelihoods depend on cultivation of rain-fed millet, supplemented by limited holdings of small ruminants. El Fasher rural is known for its low productivity and low production in a typical year.

2017/18 agricultural season

Findings from the recent CFSAM indicate 2017/18 cereal harvests were significantly below average, mainly due to below-average rainfall and prolonged dry spells during the rainy season. State-wide cereal production is estimated at 61,000 MT, which is approximately 36 percent lower than the five year-average and less than 20 percent of the above average-production. Field assessments conducted in January 2018 indicated El Fasher Rural as one of the areas of North Darfur worst affected by poor seasonal performance.

Figure 4. Reference map, Western Agropastoral Millet Livelihood Zone (SD-13), El Fasher Rural locality, North Darfur



Source: CFSAM 2017/18

Staple food prices, livestock prices, and terms of trade

Millet and sorghum prices continued to increase unseasonably during the harvest period between November 2017 and January 2018 in most markets in North Darfur. In El Fasher (city), retail millet prices increased 30 percent between November and January 2018, mainly due to high cereal prices and transportation costs from major markets associated with the recent devaluation of the Sudanese Pound, as well as localized poor harvests in North Darfur. In January 2018, millet prices in El Fasher were on average 156 percent higher than in January 2017 and 170 percent above the recent five-year average.

Livestock prices have remained relatively stable between October 2017 and January 2018, as households have maintained high sales of livestock in order to continuing purchases of staple cereals in the post-harvest period and to do so at extremely high prices. Goat prices in January 2018 were 13 percent higher than in January 2017, while sheep prices were 35 percent higher than in January 2017 and 57 percent above the recent five-year average.

In addition to sales of livestock, poor households' typical sources of income in this zone include seasonal agriculture labor and the sale of firewood, grass/fodder, and charcoal. In January 2018, poor households reported no, or very limited, income from local agricultural labor due to the poor production, while they continued to depend on the collection and sale of wood and charcoal, increased migration for agricultural labor in the main groundnuts producing areas in the eastern North Darfur and in East Darfur. Households also have reported atypically high sales of goats in order to access additional income.

Nutrition situation

A MUAC screening carried out in November 2017 in North Darfur state indicated that out of the 371,540 6-95-month children screened 55,838 (15%) were acute malnourished, of them 8,187 (2.2%) were of SAM cases and 47,651 (12.4%) of MAM cases, this is compared to 27,86 of SAM cases (1.7%) and 18,785 of MAM cases (11.4%) indicated by mass MUAC screening covered 164,173 children conducted in March 2017.

Assumptions

In addition to the national-level assumptions described above, the following area-level assumptions are used to develop the most-likely scenario for Western Agropastoral Millet Livelihood Zone (SD-13), El Fasher Rural locality for February through September 2018:

- Cereal prices are expected to remain very high between February and May and to increase further between May and September 2018, when prices will be well above average.
- Livestock prices are likely to continue to decrease seasonably throughout the scenario period as households are expected to maximize sale of animal during lean season to purchase staple food at high prices. Poor households are likely to engage in distress sales of small ruminants between June and September in order to try to maximize income during the peak of the June to September lean season.
- Further deterioration of goats to cereal terms-of-trade are likely during the peak of the lean season between May and September 2018 due to expected high cereal prices with below-average prices for livestock.
- Access to milk will remain very limited during the entire scenario period due to reduced herd sizes and expected the deterioration of animal body conditions during dry season from April to June. Milk production is likely to improve during rainy season between July and September 2018 as livestock body condition improve.

Most likely food security outcomes

In a typical year, poor households in this zone access food through own production, supplemented by substantial market purchases, as well as in-kind payments from local agricultural labor. Food access for poor households in El Fasher Rural is expected to remain below normal during post-harvest period between February and May 2018, mainly due to: reduced access to food from own production and in-kind payments as result of the poor production this year; reduced access to market purchases as a result of extremely high prices of cereal; limited purchasing power; and, reduced availability of wild foods. Poor households will increase sales of small ruminants between February and May 2018 and begin to engage in distress sales between June and September 2018 in order to obtain cash for food purchases, which is expected to have a negative impact on poor households' herd sizes. Therefore, food security for poor households in El Fasher Rural AU is likely to be Stressed (IPC Phase 2) from February to May 2017. Food security is likely to deteriorate further during the lean season between June and September, as access to market purchases (the main source of food) will be significantly reduced by the expected high prices and low income during this period, while wild foods, in-kind payments, and safety nets are expected to be at their minimum levels during the lean season. As a result, poor households in El Fasher are likely to face food consumption deficits and are likely to be in Crisis (IPC Phase 3) between June and September 2017.

EVENTS THAT COULD CHANGE THE OUTLOOK

Table 1. Possible events in the next six months that could change the outlook.

Area	Event	Impact on food security conditions
SPLM-N-controlled areas of South Kordofan	Increases in hostilities between SAF and SPLM-N and between SPLM-N disputing factions.	This is likely to reduce access to markets, reduce supply of essential commodities to market in SPLM-N controlled areas, and drive food prices and disrupt access to cultivation during the June to October 2018 cultivation season.
Poor groups in Hamashkoraib and Talkok	Late starts of the next rainy season and increase of cereal prices more than anticipated.	The number of people in Crisis (IPC Phase 3) will significantly increase, who will attempt to cope by selling unsustainable levels of livestock.
Poor groups in El Fasher Rural, North Darfur state	Higher than anticipated increases in cereal prices and decreases of livestock prices.	As a result of the reduction in households' ability to access food from market, Crisis (IPC Phase 3) will occur earlier than anticipated during ML1 and people will increase engagement in irreversible coping strategies.

ABOUT SCENARIO DEVELOPMENT

To project food security outcomes, FEWS NET develops a set of assumptions about likely events, their effects, and the probable responses of various actors. FEWS NET analyzes these assumptions in the context of current conditions and local livelihoods to arrive at a most likely scenario for the coming eight months. [Learn more here.](#)